EXECUTIVE SUMMARY

1. Introduction

The Municipality of Sta. Teresita (LGU) was formerly barrio Namunit, the largest barrio of the Municipality of Buguey. It is located about 15 kilometers east of its mother town. It was created by virtue of Republic Act (RA) No. 3728, which was approved on June 22, 1963. It was inaugurated on August 27, 1963 as regular municipality. It has thirteen (13) barangays with a total population of 16,578 and total household of 3,410. Its land area is approximately 16,698.93 hectares of plain, mountains and swampy lands rich with natural resources.

The Municipal Government is committed to serve its constituents by maximizing the utilization of its limited resources. Like other local government units, it enjoys total independence in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national government's thrust for sustainable and economic growth, as provided for RA 7160, known as the Local Government Code of 1991.

Records show that through its fast and ever changing economic and political development, the municipality was awarded by institutions, both private and public, as follows:

1. Top 4 LGU Assessed Value
2. Exemplary Performance on Revenue Generation and Resource Mobilization on Receipts from Economic Enterprises
3. Rank 4 on Revenue Generation and Resource Mobilization on Receipts from Business Tax.
4. Certificate of Appreciation for consistently implementing the Social Pension Program with 100% compliance on liquidation requirements.

The audit covered the accounts and operations of the Municipality of Sta. Teresita for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and finds were utilized in the most efficient, effective and economical manner. Financial and performance audit were conducted to achieve these audit objectives.

2. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2017, were P120,967,595.73, P28,174,411.43 and P92,793,184.30, with an increase of 22.64%, 0.05% and 31.67%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P90,557,784.87 and P67,443,094.33 which increased by 12.63% and 0.63%, respectively from last year's figures.

Particulars	2017	2016	Increase/(Decrease)	
			Amount	Percentage
Financial Position				
Assets	120,967,595.73	98,634,067.52	22,333,528.21	22.64
Liabilities	28,174,411.43	28,159,845.19	14,566.24	0.05
Govt. Equity	92,793,184.30	70,474,222.33	22,318,961.97	31.67
Financial Performance				
Income	90,557,784.87	80,404,905.07	10,152,879.80	12.63
Expense	67,443,094.33	67,018,539.93	424,554.40	0.63
Appropriations, Allotments and Obligation				
Appropriations	104,445,725.71	90,531,606.65	13,914,119.71	15.37
Allotments	104,445,725.71	90,531,619.15	13,914,119.71	15.37
Obligations	72,552,426.82	63,634,266.95	8,918,159.87	14.01

3. Independent Auditor's Report on the Financial Statements

We rendered an unqualified opinion on the fairness of the presentation of the financial statements of the Municipality of Sta. Teresita, Cagayan as at December 31, 2017.

4. Summary of Significant Audit Observations and Recommendations

1. Communication expenses amounting to P528,000.00 of the officials and employees of the municipality were not supported by documents in violation of Section 4 (6) of Presidential Decree (P.D) No. 1445.

   We recommended that the Local Chief Executive and concerned key officials strictly observe Section 4 (6) of Presidential Decree (P.D) No. 1445.

2. Representation and Travelling Allowance amounting to P1,215,000.00 of the Sangguniang Bayan members of the municipality for CY 2017 were not supported with complete documents in violation of Section 4 (6) of Presidential Decree (P.D) No. 1445.

   We recommended that the management strictly observe the following:

   a. Cash advances should be liquidated with complete supporting documents;

b. Travel Orders and Certificates of attendance should be attached to prove that the concerned Sangguniang Bayan members were actually on official travels during the scheduled sessions; and
c. In the computation of RATA of the Sangguniang Bayan members, item 7.2 of Local Budget Circular No. 103 dated May 15, 2013 should be strictly observed.

5. Summary of Total Suspensions, Disallowances and Charges

The Municipality has zero (0) Suspensions, zero (0) Disallowances and zero (0) Charges as of December 31, 2017.

6. Status of Implementation of Prior Years' Audit Recommendations

Out of the two (2) audit recommendations of last year's report, all or two (2) were partially implemented as of year-end.